

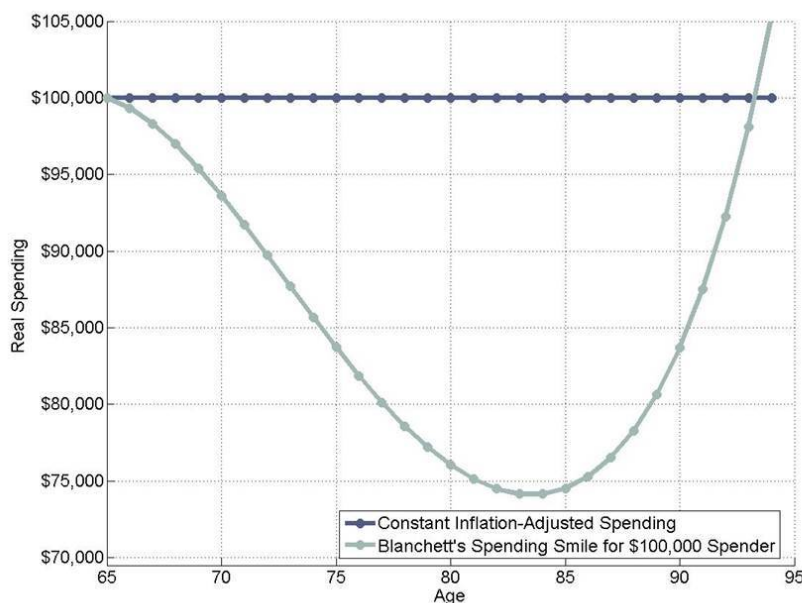
and 2009. This helps correct for problems present when focusing on the spending of different age groups at the same point in time.

Blanchett observes a “retirement spending smile” that varies slightly for retirees with different household spending levels. The following exhibit provides Blanchett’s spending smile for a retiree who begins retirement with expenditures of \$100,000. On average, this household can expect to experience declining real expenditures through age eighty-four, when real spending reaches a trough of \$74,146. This reflects a nearly 26 percent drop in real expenditures. After this point, average real expenditures increase, though they do not necessarily exceed their initial retirement levels until retirees reach their midnineties. I produced these calculations using Blanchett’s own equation, which relates changes in annual retirement spending to age and the expenditure target at the start of retirement.

Exhibit 5.18

Blanchett’s Retirement Spending Smile

The Estimated Path of Real Retirement Spending for a \$100,000 Initial Budget at 65 vs. Constant Inflation-Adjusted Spending Strategy



Blanchett observes that the spending smile reflects the same types of outcomes we have described thus far. At the start of retirement, retirees